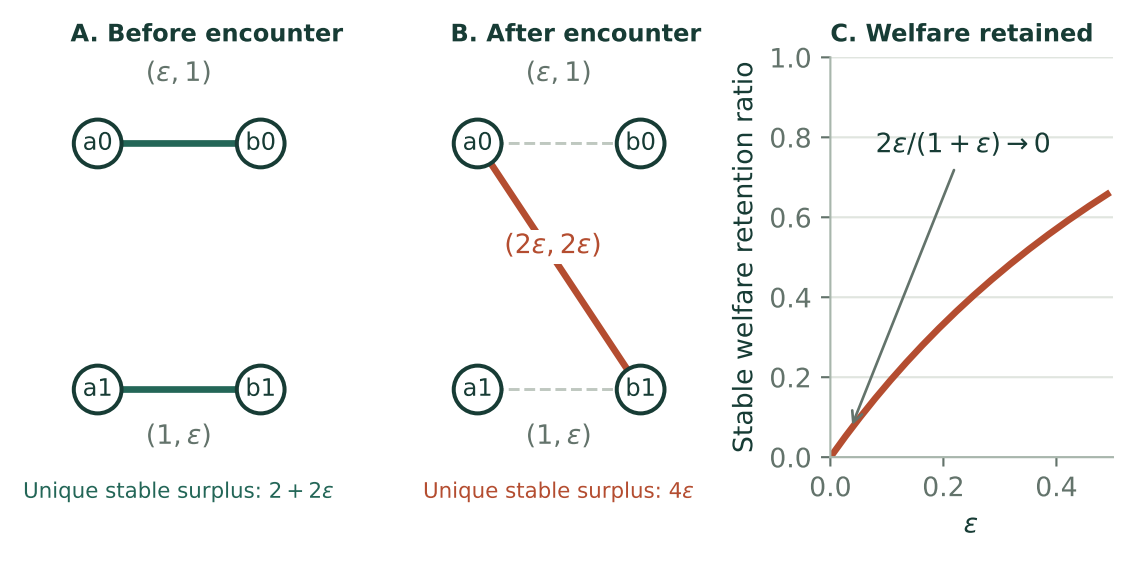
A. Before encounter
(ε, 1)
a0
b0
a1
b1
(1, ε)
Unique stable surplus: 2 + 2ε
B. After encounter
(ε, 1)
a0
b0
(2ε, 2ε)
a1
b1
(1, ε)
Unique stable surplus: 4ε
C. Welfare retained
Stable welfare retention ratio
1.0
0.8
0.6
0.4
0.2
0.0
2ε/(1 + ε) → 0
0.0
0.2
0.4
ε